

20STCV47375 20STCV47375

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Case Number: 20STCV47375 Hearing Date: September 17, 2026 Dept: 310

Judge Kevin C. Brazile

Department 20

Hearing Date: September 17, 2026

Case Name: Spinning Gold,
LLC v. Alexander Habrich, et al.

Case No.: 20STCV47375

Motion: Motion for Summary Judgment

Moving Party: Defendants Alexander
Habrich, 3761444 Canada, Inc., Neil Dunn, and Lawrence Mortorff

Responding Party: Plaintiff Spinning Gold, LLC

Notice: OK

Ruling: The Motion for
Summary Judgment, or Alternatively, Summary Adjudication is DENIED.

Moving party to
give notice.

The Court encourages all parties to appear remotely via LA
CourtConnect. If submitting on the

Court's tentative ruling, please follow the instructions provided above.

BACKGROUND

On December 10, 2020, Plaintiff Spinning Gold, LLC ("SG" or "Plaintiff") initiated this action against Defendants Alexander Habrich ("Habrich"), 3761444 Canada Inc. ("Canada"), and Neil Dunn ("Dunn"). The complaint alleges that defendants orchestrated a scheme to seize control of the motion picture Spinning Gold, thereby impairing the film's financing and production.

On April 22, 2021, Plaintiff filed a First Amended Action ("FAC") against Habrich, Canada, Dunn, Lawrence Mortorff ("Mortorff") ("collectively, "Defendants") and Does 1 through 50 asserting the following causes of action: (1) conversion, (2) tortious interference, (3) fraud, (4) negligent misrepresentation, (5) fraud by concealment, (6) civil conspiracy, (7) breach of contract, and (8) breach of fiduciary duties.

On May 25, 2021, Habrich, Canada, Dunn, Dunn Consulting, Inc. ("Dunn Consulting"), and Mortorff filed a Cross-Complaint against SG, Timothy Bogart ("Bogart"), Gary Randall ("Randall"), Jessica Martins ("Martins"), Hero Artists ("HA"), Hero Entertainment, Inc. ("HE"), 9388-3132 Quebec, Inc. ("Quebec"), and Roes 1 through 50. On October 19, 2021, an Amended Cross-Complaint was filed, after the Court sustained SG's demurrer to the original Cross-Complaint in part, with leave to amend. On February 22, 2022, a Second Amended Cross-Complaint was filed after the Court sustained SG's demurrer to the Amended Cross-Complaint with leave to amend. SG's demurrer to the Second Amended Cross-Complaint was overruled.

On February 24, 2025, the Court granted Cross-Defendant Gary Randall's motion for summary judgment of the Second Amended Cross Complaint, filed on September 9, 2024.

On June 15, 2026, Habrich, Canada, Dunn, and Mortorff filed a Third Amended Cross-Complaint against SG, Bogart, Martins, and Roes 1 through 50.

On June 24, 2026, Habrich, Canada,

Dunn, and Mortorff filed the instant Motion for Summary Judgment, or Alternatively, Summary Adjudication ("MSJ") of the First Amended Complaint ("FAC"). On August 28, 2026, Plaintiff SG filed an Opposition and on September 4, 2026, Defendants filed a Reply.

DISCUSSION

Applicable
Law

A

party seeking summary judgment has the burden of producing evidentiary facts sufficient to entitle him/her to judgment as a matter of law. (Code Civ. Proc., § 437c, subd. (c).) The moving party must make an affirmative showing that he/she is entitled to judgment irrespective of whether or not the opposing party files an opposition. (Villa v. McFerren (1995) 35 Cal.App.4th 733, 742-743.) Thus, "the initial burden is always on the moving party to make a prima facie showing that there are no triable issues of material fact." (Scalf v. D. B. Log Homes, Inc. (2005) 128 Cal.App.4th 1510, 1519 (citing Aguilar v. Atlantic Richfield Co. (2001) 25 Cal.4th 826, 850.))

When

a plaintiff or cross-complainant seeks summary judgment, he/she must produce admissible evidence on each element of each cause of action on which judgment is sought. (Code Civ. Proc., §437c, subd. (p)(1).) When a defendant or cross-defendant seeks summary judgment, he/she must produce admissible evidence showing that one or more elements of the cause of action, even if not separately pleaded, cannot be established, or that there is a complete defense to the cause of action. (Id. at §437c, subd. (p)(2).) Once the initial movant's burden is met, then the burden shifts to the opposing party to show, with admissible evidence, that there is a triable issue requiring the weighing procedures of trial. (Id. at §437c, subd. (p).) The opposing party may not simply rely on his/her allegations to show a triable issue but must present evidentiary facts that are substantial in nature and rise beyond mere speculation. (Sangster v. Paetkau (1998) 68 Cal.App.4th 151, 162.) Summary

judgment must be granted “if all the evidence submitted, and ‘all inferences reasonably deducible from the evidence’ and uncontradicted by other inferences or evidence, show that there is no triable issue as to any material fact and that the moving party is entitled to judgment as a matter of law.” (Adler v. Manor Healthcare Corp. (1992) 7 Cal.App.4th 1110, 1119.)

As

to any alternative request for summary adjudication of issues, such alternative relief must be clearly set forth in the Notice of Motion and the general burden-shifting rules apply but the issues upon which summary adjudication may be sought are limited by statute. (Code Civ. Proc., §437c(f)(1).) “A motion for summary adjudication shall be granted only if it completely disposes of a cause of action, an affirmative defense, a claim for damages, or an issue of duty.” (Ibid.)

Application

to Facts

Request for Judicial Notice

Defendants request judicial notice of the following document:

1) The

Assignment Agreement dated April 4, 2021, between Spinning Gold, LLC, as assignor, and PS203 Productions, LLC, as assignee, obtained from the records of the U.S. Copyright Office, together with the U.S. Copyright Office Certificate of Recordation, Volume 9989, Document No. 644, dated April 30, 2021, attached as Exhibit 1 to the Declaration of Charles M. Coate.

2) Plaintiff

Spinning Gold, LLC’s operative First Amended Complaint, filed in this action on April 22, 2021.

Defendants’ Request for Judicial Notice of the Assignment Agreement is GRANTED as to the existence and authenticity of the document; however, the Court does not take judicial notice of the truth of any factual assertions made in the Agreement.

Defendants’ Request for Judicial Notice of the First Amended Complaint is GRANTED.

Along with their

Reply, Defendants also request judicial notice of the following:

1) The

Court's June 11, 2026 Minute Order entered in this action (Exhibit A);

2) The

Court' assertions made in the June 11, 2026, Minute Order:

a. "[T]he

proposed claims for Fraudulent Transfer, violation of Penal Code § 496, and Unfair Competition stand on different legal footing. These claims focus on a separate, post-transaction transfer of film distribution rights to two entirely new entities (PS203, LLC and PS203 New Jersey, Inc.)." Ex. A at p. 3.

b. "Forcing

Plaintiff to litigate brand new statutory theories and drag two new corporate entities into court less than four months before trial would completely upend the operative case timeline. It would require a total restructuring of the litigation, necessitating an inevitable and lengthy trial continuance that this Court will not entertain given the proximity of the five-year statutory dismissal marker (CCP § 583.310)." Ex. A
at p. 3.

c. "The

TACC must only contain the compulsory claims (Money Had and Received, Money Lent, and Declaratory Relief) against existing Cross-Defendants. The Motion is denied as to all other claims and new parties." Ex. A at p. 4.

d. "The

motion to reopen discovery must be denied. . . . Reopening discovery would mandate vacating the September 21, 2026, trial date, causing severe and unjustifiable prejudice to Plaintiff. Thus, the Motion to Reopen Discovery is denied." Ex. A at pp. 4– 5.

3) Plaintiff

and Cross-Defendant Spinning Gold, LLC's ("Spinning Gold") Opposition to Defendants' Motion for Leave to File Third Amended Cross-Complaint, filed in this action on May 29, 2026 (Exhibit B).

4) Spinning

Gold's statements asserted in Exhibit B:

a. "More

fundamentally, adding new parties to litigation four months before trial is not a ministerial act. PS203, LLC and PS203 New Jersey, Inc. must be served. They have a statutory right to respond. They have a right to conduct their own discovery. They have a right to file their own motions. None of this can happen before September 21, 2026, and Defendants know it. The inevitable consequence of adding these entities is a third continuance of the trial date in a case that has already been pending for more than five years, and a third continuance of the five year statute that cannot be legally supported." Ex. B at p. 19:13–20.

b. "Moreover,

this is not merely a question of inconvenience or delay. The five-year mandatory dismissal statute has already run, with the action surviving only by virtue of extensions due to Defendant Habrich's own medical emergency. Any continuance required to accommodate new parties PS203, LLC and PS203 New Jersey, Inc. — who would need to be served, would have a right to answer, and would be entitled to their own discovery — risks pushing this action past the October deadline, at which point mandatory dismissal under Code of Civil Procedure section 583.310 would be unavoidable. The Court should not grant relief that it cannot administer without potentially forfeiting the entire action." Ex. B at p. 20:6–14.

c. "[B]oth

seek, simultaneously, to fundamentally expand the scope of a five-year-old case four months before trial. They have also filed a motion to re-open discovery. . . . The parties will effectively be litigating a new lawsuit on a trial date set for the case that existed before May 7, 2026." Ex. B at p. 21:6–15.

Defendants' Request for Judicial

Notice is GRANTED IN PART, as follows.

The Court takes judicial notice of the existence, authenticity, and legal effect of the June 11, 2026 Minute Order and the statements made therein, as a record of this Court. The Court

does not take judicial notice of the truth of any factual assertions contained in the June 11, 2026, Minute Order.

Furthermore, the Court takes judicial notice of the existence, filing,

and contents of the opposition brief as a court record. However, the Court does not take judicial notice of the truth of any statements, factual assertions, or argument contained in the brief.

Evidentiary Objections

Code of Civil Procedure, Section 437c, subdivision (c) states, “[i]n determining if the papers show that there is no triable issue as to any material fact, the court shall consider all of the evidence set forth in the papers, except the evidence to which objections have been made and sustained by the court.” (Code Civ. Proc., §437c, subd. (c).) Pursuant to section 437c, subdivision (q):

In granting or denying a motion for summary judgment or summary adjudication, the court need rule only on those objections to evidence that it deems material to its disposition of the motion. Objections to evidence that are not ruled on for purposes of the motion shall be preserved for appellate review.

Defendants object to and move to strike the untimely Supplemental Declaration of Timothy Scott Bogart and Exhibits 8 through 11 and the untimely Declaration of Brett M. Rubin served the night before Defendants’ Reply Brief was due, without leave of Court. The Court SUSTAINS Defendants’ objection and does not consider the late-filed opposition papers in its ruling pursuant to California Rules of Court, rule 3.1300(d) and Code of Civil Procedure section 437c, subdivision (b)(2).

Defendants also object to the following parts of Timothy Bogart’s original declaration submitted in support of Plaintiff’s Opposition:

1) Bogart

Decl. ¶ 26, 10:14–22;

2) Bogart

Decl. ¶ 26, 10:22–23;

3) Bogart

Decl. ¶ 35, 13:13–23;

4) Bogart

Decl. ¶ 36, 13:25–14:2.

Defendants'

objections are SUSTAINED in their entirety.

Analysis

Defendants

Habrich, Canada, Dunn, and Mortorff (collectively, "Defendants") move for summary judgment in their favor and against Plaintiff of the First Amended Complaint ("FAC"). Alternatively, Defendants move for summary adjudication of the eight causes of action asserted in the FAC.

A.

Real Party in Interest and Scope of Assignment

As

a preliminary matter, Defendants argue that they are entitled to summary judgment as to all eight causes of action because Plaintiff, as of the filing of the First Amended Complaint ("FAC") was no longer the real party in interest and did not have standing to pursue its claims.

"Every

action must be prosecuted in the name of the real party in interest, except as otherwise provided by statute." (Code Civ. Proc. § 367.) A party who is not the real party in interest lacks standing to sue because the claim belongs to someone else. (Cloud v. Northrop Grumman Corp. (1998) 67 Cal. App. 4th 995, 1004; Estate of Bowles (2008) 169 Cal.App.4th 684, 690.) Once a claim has been assigned, the assignor lacks standing to sue on that claim and the assignee becomes the owner with the right to sue. (Searles Valley Minerals Operations Inc. v. Ralph M. Parsons Service Co. (2011) 191 Cal.App.4th 1394, 1402.)

"In

determining what rights or interests pass under an assignment, the intention of the parties as manifested in the instrument is controlling. An unqualified assignment of a contract or chose in action, however, with no indication of the intent of the parties, vests in the assignee the assigned contract or chose and all rights and

remedies incidental thereto. These incidental rights include certain ancillary causes of action arising out of the subject of the assignment and accruing before the assignment is made. The parties' intent, as expressed in the assignment instrument, controls what passes."

(National Reserve Co. v. Metropolitan Trust Co. (1941) 17 Cal. 2d 827, 833 ("National Reserve"), internal citations omitted.) "Unless an assignment specifically or impliedly designates them, accrued causes of action arising out of an assigned contract, whether ex contractu or ex delicto, do not pass under the assignment as incidental to the contract if they can be asserted by the assignor independently of his continued ownership of the contract and are not essential to a continued enforcement of the contract." (Ibid.) "If, however, an accrued cause of action cannot be asserted apart from the contract out of which it arises or is essential to a complete and adequate enforcement of the contract, it passes with an assignment of the contract as an incident thereof." (Ibid.)

Here,

Plaintiff filed the operative FAC on April 22, 2021, asserting eight causes of action: conversion, tortious interference with contracts, fraud by misrepresentation, negligent misrepresentation, fraud by concealment, civil conspiracy, breach of contract, and breach of fiduciary duty. The FAC's allegations are premised on Plaintiff's ownership of the motion picture project Spinning Gold (the "Picture") and related collateral, which Plaintiff alleges Defendants wrongfully claimed, encumbered, and attempted to transfer without authorization. Specifically, the FAC alleges that Plaintiff was created to "act as the rights' holder" for the Picture and Defendants devised a scheme to transfer Plaintiff's ownership interests in the Picture and associated collateral and assets to themselves.

According to the FAC, Defendant Mortorff filed a UCC Financing Statement on March 5, 2020, claiming a secured interest in substantially all of Spinning Gold's assets ("Collateral"); on August 24, 2020, Mortorff provided Bogart with a Copyright Mortgage and Assignment purporting to mortgage/assign all of the Picture copyrights and rights to Defendant Habrich's company Defendant Canada; Defendant Dunn signed that Copyright Mortgage alone notwithstanding the Operating Agreement and Amended Operating Agreement requiring consent of at least two managers; and Habrich sent a Notice of Disposition of Collateral stating an intention to sell the Picture and Collateral. The FAC alleges the UCC filings impeded Plaintiff's refinancing and production efforts. On

April 4, 2021, prior to filing the FAC, Plaintiff, as Assignor, executed an Assignment Agreement in favor of PS203 Productions, LLC ("PS203"), as Assignee. (Declaration of Charles M. Coate, Ex. 1 – Assignment Agreement.)

Defendants

argue that each of the causes of action depend on Plaintiff's asserted ownership, control, or right to recover damages related to the Picture, Collateral, financing, production, chain of title, and related rights. Defendants argue that the Assignment Agreement is broad and comprehensive as Plaintiff "sell[s], assign[s], transfer[s] and set[s] over unto Assignee exclusively, in perpetuity and throughout the universe, all of Assignor's right, title and interest in the Property and in and under the Documents ('Rights')," defined to include the original screenplay, related materials, chain-of-title and production documents, and "all copyrights, neighboring rights, trademarks and any and all other ownership and exploitation rights in the Property," with the assigned rights "irrevocably vested in Assignee in perpetuity." (Coate Decl., Ex. 1.) There is no express reservation of claims, damages, remedies, litigation rights, or any other rights related to the Picture appearing in the instrument. Defendants argue that the Assignment Agreement was not limited or qualified as to the rights transferred and Plaintiff did not reserve any claims, damages, remedies, or other rights relating to the Picture. Moreover, according to Civil Code section 1084, "[t]he transfer of a thing transfers also all its incidents, unless expressly excepted; but the transfer of an incident to a thing does not transfer the thing itself."

Defendants

also argue that every claim and damage alleged in the FAC—stemming from the Copyright Mortgage, UCC liens, alleged interference with financing, and the asserted transfer of ownership—is inseparable from the Picture rights that Spinning Gold assigned to PS203; thus, remedies such as clearing title, removing encumbrances, addressing financing interference, or recovering for impaired ownership necessarily travel with those rights and belong to PS203 under Civil Code section 1084 and National Reserve. The Agreement's "No Assumption of Liabilities" clause merely shields PS203 from Spinning Gold's debts and obligations, and—because section 1084 requires an express reservation to retain claims or remedies—the absence of any reservation means those claims and remedies did not stay with Spinning Gold. Plaintiff cannot avoid the assignment's effect by labeling its theories as fraud or concealment, because the FAC seeks recovery solely for injuries to the Picture's chain of title, Collateral, and financing—rights assigned to PS203—and Plaintiff cannot maintain the claims or recover damages for those injuries.

In

response, Plaintiff argues that the Assignment Agreement's operative grant is confined to all of Assignor's rights, title and interest in the Property and in and under the Documents, with the Rights defined as all copyrights, neighboring rights, trademarks and any and all other ownership and exploitation rights in the Property. Plaintiff notes that the granting language uses "the vocabulary of intellectual property ownership and exploitation," not "the vocabulary of an assignment of claims or choses in action." (Opposition, p.

11.) Plaintiff further contends that

Section 5's representation that there was no outstanding litigation affecting the Property contemplates litigation risk tied to Property ownership, not a transfer of Plaintiff's claims against Defendants. An assignment transfers only those rights and remedies that are incident to what it actually conveys, as determined by the parties' intent. Since the grant here is limited to ownership and exploitation of the screenplay, it does not clearly include tort or contract claims against non-parties, creating at least a triable issue of fact about whether such claims were intended to be assigned.

Furthermore,

Plaintiff argues that these claims accrued before the assignment and were not automatically transferred absent express assignment language. Mortorff's UCC filing (March 5, 2020), the Copyright Mortgage (August 24, 2020), misrepresentations about Mortorff's role (October 21, 2019), the Equity Agreement (February 5, 2020, concealed until Aug. 24, 2020), and the Notice of Disposition (November 24, 2020)—occurred and accrued months before the April 4, 2021 Assignment and, thus, Plaintiff retains standing to assert them. Plaintiff points to surrounding circumstances to demonstrate the lack of intent to transfer these claims as part of the Assignment Agreement: PS203 was formed in March 2021 to complete the film in the U.S. and obtain tax incentives after COVID-related shutdowns; investor entitlements were preserved; and Bogart did not intend to transfer these litigation claims to PS203. Finally, on August 28, 2026, PS203 executed a Ratification Agreement confirming and ratifying Spinning Gold's commencement and prosecution of the causes of action asserted in this action, with retroactive effect to April 4, 2021, and authorizing Plaintiff to continue prosecuting this action in its own name through final judgment, appeal, and collection.

In

its Reply, Defendants argue that Plaintiff's reliance on Bogart's subjective

intent is barred by the Assignment's integration clause and extrinsic evidence cannot vary an integrated instrument's terms.

Defendants also argue that Plaintiff cannot challenge the motion on the basis of a ratification theory that was not pled in the complaint. Allowing Plaintiff's new ratification theory would interfere with the litigation as the Court previously denied Plaintiff's attempt to add PS203 to the action and reopen discovery due to the imminent trial and resulting prejudice. Moreover, the Ratification Agreement does not sell, assign, or transfer any claims.

The

Court finds that triable issues of fact exist as to the scope of the Assignment Agreement. The Assignment Agreement, executed on April 4, 2021, provides that "[f]or \$10.00 and other good and valuable consideration" Plaintiff "sell[s], assign[s], transfer[s] and set[s] over unto Assignee exclusively, in perpetuity and throughout the universe, all of Assignor's right, title and interest in the Property and in and under the Documents." (Coate Decl., Ex. 1

– Section 1.) The assigned

"Property" includes "the original screenplay written by Timothy Scott Bogart entitled 'Spinning Gold', including the title, themes, stories and all other contents thereof, and the characters therein, and all translations, adaptations, sequels and other versions thereof and any other material of any kind pertaining or related to the foregoing or to the motion picture project presently entitled 'Spinning Gold' ('Picture'), whether now owned or hereafter acquired by Assignor" and "Documents" include chain-of-title and production documents enumerated in Exhibit A and "all other documents pertaining to or related to" the Picture. (Ibid.) The assigned "Rights" include "without limitation all copyrights, neighboring rights, trademarks and any and all other ownership and exploitation rights in the Property now or hereafter recognized in any and all territories and jurisdictions including, by way of illustration, production, reproduction, distribution, adaptation, performance, fixation, rental and lending rights, exhibition, broadcast and all other rights of communication to the public, and the right to exploit the Property throughout the universe in perpetuity in all media, markets and languages and in any manner now known or hereafter devised."

(Ibid.) Section 8 provides

that the assigned rights are "irrevocably vested in Assignee in perpetuity." (Ibid., Section

8.) Section 2, titled "No Assumption of

Liabilities," states that PS203 does not assume Plaintiff's debts, liabilities,

or obligations, including those related to contracts and “liabilities relating to any claims, litigation or judgments.”

(Ibid., Section 2.) The

Assignment Agreement contains no express reservation of claims, damages, or remedies.

Whether

the parties intended the Assignment Agreement to transfer litigation claims against third parties arising from conduct predating the assignment, or only the ownership and exploitation rights themselves, is a question of fact that cannot be resolved through a summary judgment motion. Defendants frame the assignment as comprehensive and unqualified, invoking Civil Code section 1084 and National Reserve to argue that all incidents of ownership—including accrued claims inseparable from the asset—passed to PS203, leaving Plaintiff without standing.

Plaintiff, however, raises a plausible alternative

interpretation that the Agreement’s text conveys only intellectual-property ownership and exploitation rights, not tort or contract claims against third parties, and that the pre-assignment accrual of the alleged injuries preserves its standing. The subsequent

Ratification Agreement strengthens Plaintiff’s position by expressly authorizing Plaintiff to continue litigation, though Defendants contend it is procedurally improper and cannot vary the integrated assignment instrument. Thus, the Court’s decision hinges on whether the claims alleged are legally incidental to the assigned property interests under National Reserve or whether the Agreement’s language, surrounding circumstances, and timing of accrual create a triable issue of fact as to the parties’ intent and Plaintiff’s continuing status as the real party in interest. Accordingly, the Court denies Defendants’ motion for summary judgment.

Issue 1: Conversion

The elements for a conversion claim are:

(1) plaintiff’s ownership or right to possession of the property, (2) a wrongful act or disposition of property rights, and (3) damages. (Lee v. Hanley, (2015) 61 Cal. 4th 1225, 1240.) “To establish a conversion, plaintiff must establish an actual interference with his ownership or right of possession...Where plaintiff neither has title to the property alleged to have been converted, nor possession thereof, he cannot maintain an action for conversion.” (Moore v. Regents of University of California (1990) 51 Cal. 3d 120, 136.)

Defendants seek summary adjudication of the conversion claim on the basis that Plaintiff cannot establish ownership, a right to possession, or recoverable damages after the assignment.

The alleged acts of conversion occurred before the April 4, 2021 Assignment Agreement, when Plaintiff allegedly owned the Picture and related Collateral. Whether the subsequently executed Assignment Agreement transferred the accrued conversion claim and all associated damages presents the same disputed question of scope discussed above. Accordingly, summary adjudication of Issue No. 1 is denied.

Issue 2: Tortious Interference with Contracts

“The elements which a plaintiff must plead to state the cause of action for intentional interference with contractual relations are: (1) a valid contract between plaintiff and a third party; (2) defendant's knowledge of the contract; (3) defendant's intentional acts designed to induce a breach or disruption of the contractual relationship; (4) actual breach or disruption of the contractual relationship, and (5) resulting damage.” (Pacific Gas & Electric Co. v. Bear Stearns & Co. (1990) 50 Cal. 3d 1118, 1126.)

The FAC alleges interference with both the Plaintiff's governance agreement and with contractual financing relationships involving third-party financiers.

Defendants argue that the first theory fails because it targets Plaintiff's own Amended Operating Agreement—an internal governance instrument—not a contract with a third party. Thus, alleging

Dunn acted without the required two-manager consent is merely an authority dispute rather than interference with a third-party contract. Furthermore, this alleged violation produced no recoverable damages and in the event it did produce damages, those were assigned to PS203.

Defendants also argue that the second interference theory fails because any disruption to Plaintiff's financing (via UCC filings and claimed security interests) is inseparable from the Picture rights that Plaintiff assigned to PS203.

Since the Assignment reserved no interference claims, contract rights, damages, or remedies, any claim or damages from a disrupted Picture-related financing contract belong to PS203, not Spinning Gold.

Even if Defendants' arguments regarding the Amended Operating Agreement have merit, they do not dispose of this cause of action because the second theory of interference remains in dispute. Given that the Defendants' challenge of the second theory of tortious interference depends on the disputed scope of the Assignment Agreement, summary adjudication of Issue No. 2 is denied.

Issues 3-5: Fraud, Negligent Misrepresentation, and Concealment

The elements for a fraud cause of action are "(a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or 'scienter'); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage. [Citations omitted.]" (Lazar v. Superior Court (1996) 12 Cal. 4th 631, 638.)

The elements of negligent misrepresentation are "(1) the misrepresentation of a past or existing material fact, (2) without reasonable ground for believing it to be true, (3) with intent to induce another's reliance on the fact misrepresented, (4) justifiable reliance on the misrepresentation, and (5) resulting damage." (Apollo Capital Fund LLC v. Roth Capital Partners, LLC (2007) 158 Cal.App.4th 226, 243.)

"The elements of an action for fraud and deceit based on concealment are: (1) the defendant must have concealed or suppressed a material fact, (2) the defendant must have been under a duty to disclose the fact to the plaintiff, (3) the defendant must have intentionally concealed or suppressed the fact with the intent to defraud the plaintiff, (4) the plaintiff must have been unaware of the fact and would not have acted as he did if he had known of the concealed or suppressed fact, and (5) as a result of the concealment or suppression of the fact, the plaintiff must have sustained damage." (Marketing West, Inc. v. Sanyo Fisher (USA) Corp. (1992) 6 Cal.App.4th 603, 612-613.)

Defendants contend that the fraud, negligent misrepresentation, and concealment claims all depend on the same

harm—Defendants' alleged use of the Copyright Mortgage and UCC filings to assert a security/ownership interest in the Picture and Collateral, which allegedly impeded financing, delayed production, and increased costs. This harm is not a personal injury separate from the Picture-related rights and given that Plaintiff assigned all rights in the Picture and related agreements/documents to PS203 and did not reserve fraud or related claims or their remedies, Plaintiff cannot establish damages for these torts.

The alleged misrepresentations, concealment, reliance, and resulting impairment began before execution of the Assignment Agreement. Defendants have not established as a matter of law that every alleged loss was assigned to PS203. Thus, summary adjudication of Issues Nos. 3, 4, and 5 is denied.

Issue 6: Civil Conspiracy

"Conspiracy is not a cause of action, but a legal doctrine that imposes liability on persons who, although not actually committing a tort themselves, share with the immediate tortfeasors a common plan or design in its perpetration...Standing alone, a conspiracy does no harm and engenders no tort liability. It must be activated by the commission of an actual tort." (Applied Equipment Corp. v. Litton Saudi Arabia Ltd. (1994) 7 Cal. 4th 503, 510-511.)

Defendants' challenge to the conspiracy claim depends on summary adjudication of the underlying tort claims. Because the Court denies summary adjudication of those claims, Defendants have not established the asserted basis for summary adjudication of the derivative conspiracy theory. Summary adjudication of Issue No. 6 is denied.

Issues 7-8: Breach of Contract and Breach of Fiduciary Duty

"To prevail on a cause of action for breach of contract, the plaintiff must prove (1) the contract, (2) the plaintiff's performance of the contract or excuse for nonperformance, (3) the defendant's breach, and (4) the resulting damage to the plaintiff. (Richman v. Hartley (2014) 224 Cal.App.4th 1182, 1186.) To state a cause of action breach of fiduciary duty, a plaintiff must allege (1)

the existence of a fiduciary duty, (2) a breach of the duty, and (3) damages caused by the breach. (Charnay v. Cobert (2006) 145 Cal.App.4th 170, 182.)

"Before a person can be charged with a fiduciary obligation, he must either knowingly undertake to act on behalf and for the benefit of another, or must enter into a relationship which imposes that undertaking as a matter of law. [Citation.]" (Brown v. Wells Fargo Bank (2008) 168 Cal.App.4th 938, 960.)

The FAC alleges that Defendant Dunn contracted to serve as a manager and follow the Amended Operating Agreement's two-manager consent requirement, then breached the Agreement by unilaterally signing the Equity Agreement and Copyright Mortgage. Defendants argue Plaintiff cannot prove contract damages because all harm claimed (to the Picture, Collateral, and related rights) concerns rights Plaintiff assigned to PS203 without reserving remedies, so the breach of contract claim fails as a matter of law.

The FAC also alleges that Dunn breached his fiduciary duties by unilaterally signing a Copyright Mortgage that purported to transfer Plaintiff's rights in the Picture and Collateral, thereby impairing those rights. Defendants argue that the claim fails because Plaintiff assigned those rights to PS203 without reserving fiduciary-duty claims, damages, or remedies.

The Assignment Agreement did not expressly transfer Dunn's managerial duties or expressly assign Plaintiff's accrued claims based on the alleged breach of those duties. Although some alleged damages relate to the Picture and its financing, Defendants have not established that every alleged damage was an incident of the rights transferred to PS203. Accordingly, summary adjudication of Issue Nos. 7 and 8 is denied.

CONCLUSION

The Motion for Summary Judgment, or Alternatively, Summary Adjudication of the First Amended Complaint filed by Defendants Alexander Habrich, 3761444 Canada, Inc., Neil Dunn, and Lawrence Mortorff is DENIED.

Moving party to give notice.